No. 99-1953

IN THE SUPREME COURT OF THE UNITED STATES

DISTRICT OF COLUMBIA, *ET AL.*,
Petitioners,
v.
TRI COUNTY INDUSTRIES, INC.,
Respondent.

On Writ of Certiorari to the United States
Court of Appeals for the District of Columbia Circuit

BRIEF FOR PETITIONERS

ROBERT R. RIGSBY
Corporation Counsel

CHARLES L. REISCHEL
Deputy Corporation Counsel
Appellate Division

DONNA M. MURASKY
Senior Assistant
Corporation Counsel
Counsel of Record for Petitioners

Office of the Corporation Counsel
Government of the District of Columbia
One Judiciary Square – 6th Floor South
441 Fourth Street, N.W.
Washington, D.C. 20001
Telephone: (202) 727-6252/724-5691

Petition for a Writ of Certiorari filed on June 2, 2000
Certiorari granted on September 26, 2000

QUESTION PRESENTED

Gasperini v. Center for Humanities, Inc., 518 U.S. 415 (1996), holds that the Seventh Amendment does not preclude district courts from exercising substantial discretion in granting new trials but does constrain appellate review of such orders. The question presented is whether, as some Circuits have recognized, *Gasperini* invalidates the contrary approach of other Circuits, including the D.C. Circuit here, which hold that the Seventh Amendment strictly circumscribes a district court's discretion to grant a new trial and thereby expands the scope of appellate review.

PARTIES

The parties are Tri County Industries, Inc.; District of Columbia; Mayor Anthony Williams (as successor to Sharon Pratt Kelly); the District of Columbia Department of Consumer and Regulatory Affairs; the Director of the District of Columbia Department of Consumer and Regulatory Affairs, Lloyd J. Jordan (as successor to Hampton Cross); and Ted Gordon, Senior Deputy Director for Health Assurance, the District of Columbia Department of Health (as successor to Ferial Bishop, Administrator of the Environmental Regulation Administration of the District of Columbia Department of Consumer and Regulatory Affairs). Tri County Industries has represented that it is a privately owned corporation organized under the laws of Maryland; primarily engages in the business of removing underground fuel storage tanks and contaminated soil; and does not have any parent companies, subsidiaries or affiliates that issue shares or debt securities to the public.

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DISTRICT OF COLUMBIA, *ET AL.*,
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BRIEF FOR PETITIONERS

OPINIONS BELOW

The January 18, 2000, decision of the United States Court of Appeals for the District of Columbia Circuit (Pet. App. 1-10) is reported at 200 F.3d 836; 2000 U.S. App. LEXIS 624; and 50 ERC (BNA) 1249. The July 23, 1998, decision of the United States District Court for the District of Columbia (Pet. App. 12-14) is not reported.

JURISDICTION

The D.C. Circuit issued its decision on January 18, 2000. Pet. App. 1. On February 17, petitioners filed a timely petition for rehearing and suggestion for rehearing *en banc*. Pet. App. 16 & 17. The petition and suggestion were denied on March 8. Pet. App. 16 & 17.

Petitioners filed a timely petition for a writ of certiorari on June 2. This Court granted the petition on September 26.

This Court has jurisdiction pursuant to 28 U.S.C. § 1254(1).

LEGAL PROVISIONS INVOLVED

This case involves the Seventh Amendment to the United States Constitution (U.S. CONST. Amend. VII), which provides:

> In Suits at common law, where the value in controversy shall exceed twenty dollars, the right of trial by jury shall be preserved, and no fact tried by a jury, shall be otherwise re-examined in any Court of the United States, than according to the rules of the common law.

This case also involves Fed. R. Civ. P. 59(a), which provides in pertinent part:

> A new trial may be granted to all or any of the parties and on all or part of the issues (1) in an action in which there has been a trial by jury, for any of the reasons for which new trials have heretofore been granted in actions at law in the courts of the United States . . . .

STATEMENT OF THE CASE

I. INTRODUCTION.

This appeal involves the award of damages for a procedural due process violation -- the District of Columbia's temporary suspension, without a prior hearing, of a permit to convert a warehouse in the District into a soil remediation facility. See Joint Appendix ("J.A.") 18-30 (*Tri County Industries, Inc. v. District of Columbia*, 104 F.3d 455, 460-62 (D.C. Cir. 1997)). On remand from that appeal, the case was tried to a jury which awarded $5,000,000 in damages. Pet.

App. 2. Following the award, the district court, the Honorable James Robertson, ordered a new trial because the damages award was grossly excessive; the permit holder had done absolutely nothing to mitigate damages; and he had disabled the jury from performing its job by excluding and striking evidence from its consideration. Pet. App. 12-14. A second jury, which considered a fuller evidentiary record in light of *Carey v. Piphus*, 435 U.S. 247, 266-67 (1978), as well as the rule that a party must mitigate its damages arising from an unlawful injury, awarded nominal damages of $100. J.A. 7.

On appeal, citing Seventh Amendment concerns, the D.C. Circuit transformed the abuse of discretion standard of appellate review into a "more searching inquiry" standard. Pet. App. 5 & 10. Under its revised standard, the court set aside the district court's order granting the District a new trial and ordered reinstatement of the $5,000,000 damages award.

In so ruling, the D.C. Circuit contravened *Gasperini v. Center for Humanities, Inc.*, 518 U.S. 415 (1996). *Gasperini* holds that district court judges retain substantial discretion under the Seventh Amendment to order new trials and that appellate courts must exercise restraint in applying the abuse of discretion standard of appellate review of new trial orders. The decision here turns *Gasperini* on its head.

II. SUMMARY OF THE HISTORIC FACTS.

In 1991, Tri County first entered the contaminated soil remediation market by opening a processing facility on New York Avenue, N.E. J.A. 40. The facility was closed because it violated the District's zoning laws. J.A. 41.

In 1993, Tri County secured a building permit to convert a warehouse several blocks away into a soil remediation

facility. J.A. 41, 126-31. In the supplement to its application, dated October 2, 1992, when Tri County was asked whether its "proposed project [will] result in an increase in vehicular traffic in the area surrounding the project," it answered: "A LITTLE EMPLOYEE." Lodging ("L.") 30; see also J.A. 94.

In July, 1993, some five months after receiving its permit, Tri County began to accept delivery of contaminated soil, although it had not yet secured a certificate of occupancy. J.A. 37 & 49; L. 1. By the end of August, Tri County was storing some 1,440 tons of contaminated soil. L. 1-3 & L. 11 (items 1-4).

On September 2, 1993, Juan Berrayarza, a veteran zoning inspector from the District's Department of Consumer and Regulatory Affairs ("DCRA"), inspected the facility. J.A. 80; L. 18-19. No one was there. J.A. 81. He saw "a big room that was full of soil, a big pile of soil." J.A. 80. While he was there, he developed "some eye irritation because of the fumes, the stink was coming out from the soil." J.A. 80. He wrote a Notice of Infraction for storing contaminated soil without a certificate of occupancy in violation of 11 D.C.M.R. § 3203.1 (June, 1986). J.A. 49, 80-81; L. 18-19.

Tri County did not respond to this Notice even though the Notice advised that Tri County would "be subject to the maximum penalties permitted by law, *suspension of your license/permit*, . . . and/or sealing of your business," and that the fine would double if not paid within 15 days. L. 19 (emphasis added); see J.A. 46. Tri County continued to accept tons of contaminated soil. J.A. 37-38 & 49; L. 4-7.

Nearby residents became concerned. On September 20, Tri County attended a community meeting about the facility.

At this meeting, Hampton Cross, DCRA's Acting Director, temporarily suspended Tri County's building permit because he had been informed (mistakenly, as it turned out) that this facility was going to be very close to a proposed housing development. Pet. App. 3; J.A. 44 & 53.

On September 22, 15 days after service of the Infraction Notice, the DCRA dispatched Phillip Thomas, a veteran construction inspector to the facility. J.A. 83. By this time, Tri County had some 1,900 tons of contaminated soil stored. L. 1-5. Not surprisingly, the inspector saw that Tri County was "storing a lot of soil in the building." J.A. 83. The Tri County representative could not produce a certificate of occupancy. J.A. 84. The inspector issued a stop work order. J.A. 84; L. 24.

Despite the stop work order (and Cross's directive), Tri County continued to buy tons of contaminated soil. J.A. 38 & 49; L. 6-7. By mid-October, it had accumulated some 2,460 tons in its building. L. 1-7 & L. 11 (items 1-8).

The DCRA's Office of Adjudication conducted a hearing on the Infraction Notice on October 13. J.A. 85; L. 20 & 22. Tri County defaulted. J.A. 86; L. 20 & 22. An Administrative Law Judge found it guilty, based on the testimony of Inspector Berrayarza who had issued the Notice, and added to the original $500 fine a $1,000 penalty and $25 in costs. J.A. 86; L. 20-21. The decision stated that failure to appeal "or to arrange for payment of all fines, penalties, and costs within fifteen (15) days of service of this decision ***SHALL OPERATE TO SUSPEND AUTOMATICALLY THE LICENSE OR PERMIT.***" L. 21 (emphasis in decision); see J.A. 88. L. 21. Tri County neither appealed nor arranged for payment. J.A. 87; L. 23.

On October 15, the DCRA's Environmental Regulation Administration ("ERA") followed up on Cross's temporary suspension. It sent a letter to Tri County, referencing the community meeting and advising that "further review is necessary" pursuant to the District's Environmental Policy Act of 1989. J.A. 145; see J.A. 49-50 & 89. The letter requested information about several health and safety matters, including the precise distance of the facility from nearby residences and from the property which Cross mistakenly believed was to be developed. J.A. 145-47.

Tri County did not answer this letter. J.A. 50, 90, 95 & 148. Shortly thereafter, in November, Tri County abandoned the project. J.A. 48.

On December 6, 1993, Cross, unaware of Tri County's decision, sent it another letter. J.A. 90 & 148-50. Citing its failure to respond to the October 15 letter, he rescinded the DCRA's environmental approval of the project. J.A. 148-50. This letter also cited Tri County's misrepresentation of the distance of its proposed facility to nearby residences as being 700 feet, as opposed to less than 100 feet. J.A. 90 & 149.

III. The Litigation.

A. Liability.

On September 20, 1994, Tri County brought suit in the United States District Court for the District of Columbia claiming that Cross's temporary suspension of its permit on September 20, 1993, without a prior hearing, violated the Due Process Clause of the Fifth Amendment. J.A. 1, 11 & 13. The court (Robertson, J.) dismissed the complaint for failure to state a claim. J.A. 10-17 (*Tri-County Industries, Inc. v. District of Columbia*, 932 F. Supp. 4 (D.D.C. 1996)).

The D.C. Circuit reversed and remanded the case "to consider the extent of Tri County's damages." J.A. 30. In its decision, the court observed, *inter alia*, that "Tri County took no action to challenge either the September 20 suspension, which all parties now agree had no legal basis at all, or the [September 22] stop work order, which is not challenged here and which all agree was a legally sufficient bar to Tri County's continuing work on the facility." J.A. 20; see also J.A. 25. It also directed that, "[i]n calculating any damages, . . . the possibility of relief from the District's Board of Appeals and Review, as well as the possible mooting effect of the stop work order, may be pertinent." J.A. 29-30.

B. Preliminary Matters On Remand.

On July 25, 1997, the district court issued a preliminary decision in which it ruled that Tri County's evidence was too speculative to support an award for loss of future profits:

> The affidavit of plaintiff's environmental expert, attesting that it is "probable" that from 1994-2000 Tri County would have treated 75,000 tons of soil per year at $40/ton, is insufficient to establish loss of profits with reasonable certainty. See Story Parchment Co. v. Patterson Parchment Paper Co., 282 U.S. 555, 563 (1931). . . . As the record now stands, any estimate of lost profits related to Tri County's soil remediation business, a relatively new enterprise with no proven record of profits, would be based on speculation.

J.A. 33.

The record before the court included a March 24, 1995, report by Vincent N. DiRenzo, Jr., of Apex Environmental,

Inc., which had been commissioned by Tri County. J.A. 133-38. This report, which covered thermal remediation facilities in Virginia, Maryland, and North Carolina, concluded that "[i]f a facility had been able to operate a thermal treatment unit within Washington, D.C. during the time frame of the survey, it would have been very well placed to have captured a significant portion of the market." J.A.138.

At the same time, however, DiRenzo also concluded that competition was very vigorous and the prospects of profits rather dim. He reported that the market for the treatment of contaminated soil had "undergone significant change over the past three years," (J.A. 136) including the growth of on-site "bioremediation of petroleum contaminated soil" and "'cold batch' treatment of contaminated media." J.A. 136. DiRenzo also reported that the prices thermal remediation facilities could charge were "projected to remain stable throughout the time frame" because "*soil prices have dropped to the lowest point to allow for the facilities to cover operating costs.*" J.A. 137 (emphasis added). Indeed, one Maryland facility "*attempted to gain a larger portion of the market by reducing gate prices below cost. The result was that the facility had to be sold at a loss to its lenders, as it could no longer make payment on incurred debt.*" J.A. 137 (emphasis added).

C. The First Trial.

1. Tri County's Case.

Despite the court's pretrial evidentiary ruling, at a four-day trial in April, 1998, Tri County sought damages not only for the expenses it had incurred but also for more than $11,000,000 in lost future profits. Tri County's vice president, Karleen Donnells, testified that its past costs included $44,350 Tri County had paid to T.A. Bennett Trucking

Company and TSC Transport for hauling some 2,460 tons of contaminated soil to the Bryant Street facility from July, 1993, through early October, 1993. J.A. 35-38 & 132; L. 1-14. These deliveries included some 123 truckloads of soil, weighing about 20 tons per load, for which Tri County paid approximately $17.50 per ton. J.A. 37; L. 1-7 & 11.

Tri County's evidence of future costs, revenues, and lost future profits came from several sources. Glenn Selzer, President of Tri County, estimated that the cost of hauling contaminated soil to Bryant Street "would [have] run a dollar a ton" in 1994. J.A. 42.[1] He had planned to clean "[a]bout 75,000 tons" of soil each year; and he expected to sell annually 45,000 tons of clean soil at $2.00 per ton. J.A. 44; see J.A. 43. Selzer expected to need five employees to run the plant: a supervisor at an annual salary of $50,000; an assistant at $30,000; a machine operator at $30,000; and two laborers at $7.00 per hour each. J.A. 42. The plant would have operated "six days a week, a shift and a half, run 12 hours a day" plus a one-half hour equipment warm-up each day. J.A. 42; see J.A. 59. This amounted to a 75-hour work week for each employee. Tri County would have purchased used Gencor thermal remediation equipment for $600,000, or half of what new equipment would have cost. J.A. 41-42 & 47.

Tri County also called several experts. Donald G. Carter supplied evidence of utility costs for operating the plant based on his understanding that "[t]he system could do 20 tons of soil per hour." J.A. 59; see L. 17. By contrast, Alfred

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[1]By contrast, Tri County's expert, DiRenzo, had estimated that transportation costs to a Washington, D.C., facility would have been $2.00 to $3.00 per ton, while such costs in northern Virginia and Maryland had ranged from $6.00 to $12.00 per ton. J.A. 135 & 138.

Dishian, a Gencor expert, testified that it had "a nominal capacity of 25 tons an hour" and could treat as many as 40 tons per hour, depending on the moisture content of the soil. J.A. 57; see also J.A. 65 & 126.

DiRenzo also testified. In sharp contrast to his 1995 projection that the market would remain stable for thermal remediation facilities, he testified that "I don't think there's any thermal treatment units in Virginia anymore," although there were bioremediation facilities. J.A. 60; see J.A. 63. He acknowledged that there had been one thermal facility in Virginia but it had "lost" its permit. J.A. 63. In addition, there had been a thermal remediation plant in Baltimore which had gone out of business within a year of starting after competition forced it to lower its prices below its operating costs in order to gain market share. J.A. 63-64. DiRenzo reiterated his report's conclusion that the market price for treating oil-contaminated soil was $40 per ton in 1994, $38 in 1995, $35 in 1996, and was expected to be $34 from 1997 through 2000. J.A. 62. According to him, "these rates included transportation to the facilities . . .." J.A. 62.[2]

Tri County selected Joel M. Morse, a financial expert, to put the revenue and cost estimates developed by DiRenzo and others into a spreadsheet. J.A. 65 & 68-69. For example, he used the revenue-per-ton prices provided by DiRenzo starting with $40 per ton in 1994. J.A. 66-67 & 69. For transportation costs, he used the $1.00 per ton cost given by Selzer, rather than the $2.00 to $3.00 per ton cost given by DiRenzo. J.A. 141. For utility costs, he used Carter's numbers which were based on the assumption that the Gencor equipment had

[2]At the conclusion of DiRenzo's testimony, the court denied Tri County's motion to allow his 1995 report to go to the jury on the grounds that his testimony covered the substance of his report. J.A. 63.

an hourly capacity of 20 tons, rather than 25 tons (or more). J.A. 141. In preparing his spreadsheet, he did not consider whether any of the companies surveyed by DiRenzo was a "start-up" company, as Tri County would have been. J.A. 68. Based on this number-crunching exercise, Morse estimated that Tri County would have garnered profits of $11,628,174 for the period 1994 through 2000. J.A. 67. For example, in 1994, revenues would have been $3,367,500 and costs $1,335,908, resulting in a profit of $2,031,592. J.A. 67. Morse admitted that his profit estimates were those of "an extremely profitable business . . .." J.A. 70.

Insofar as the District's law-infraction citations were concerned -- the September 7 Notice of Infraction and the September 22 stop work order -- Selzer denied that he had been doing anything wrong. According to him, Tri County had purchased contaminated soil in order to perform the stack tests that would have been needed to demonstrate that it should be given a certificate of occupancy, so that Tri County could begin to operate the facility. J.A. 46. He admitted, however, that at most, 275 tons of soil were needed to perform these tests, or about 15 truckloads. J.A. 51-52. Tri County, however, had purchased nearly ten times that amount. Selzer also testified that he did not bother to pay the modest fines the District had imposed or to remove the contaminated soil in the fall of 1993 because "[t]he real problem was Mr. Cross suspended our construction permit, and we had no way of knowing whether we were ever going to be . . . able to continue with the project . . .." J.A. 46.

However, when asked why Tri County did not respond to Cross's October 15, 1993, invitation to be heard on the September 20 suspension, Selzer replied that Tri County had not done so because it already had provided "all this information months before they sent the letter." J.A. 50; see J.A. 51.

Finally, Selzer explained why Tri County did not challenge Cross's September 20 suspension. According to him, Jonathan L. Farmer, Tri County's counsel at the time, had advised that an appeal "would take at least a year," the District's Board of Appeals and Review ("BAR") "was politically motivated," and it would have cost "close to a million dollars to appeal it . . .." J.A. 47 & 48. Farmer, although testifying that he had estimated eight months to a year for an appeal, did not confirm Selzer's other two points. J.A. 54. He did testify that Tri County could have taken an appeal to the BAR or to the Board of Zoning Adjustment.[3] J.A. 54.

On the issue of health and safety, Tri County produced Alfred Dishian as an expert. J.A. 55. He explained the process for thermal remediation in the Gencor unit that Tri County intended to use. The soil is heated to a temperature of 600 to 700 degrees Fahrenheit and the gases are drawn from the soil and then heated to "approximately 1600 degrees Fahrenheit which guarantees" that "the gases coming out . . . will be 99 percent free of petroleum." J.A. 56. According to Dishian, the health and safety risks associated with handling and remediating contaminated soil are "[n]o more than filling up your car with gasoline." J.A. 58.

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[3]For reasons we do not understand, the D.C. Circuit stated that Farmer "testified that Cross told him that the Board of Appeals and Review would act at the direction of the District's Mayor and the Mayor's chief of staff." Pet. App. 6 n.2. This was not his testimony, however. To the contrary, Farmer testified that he had told his client that the decision to go forward "was really a business decision," advice he would not likely have given if the result, in his mind, was a foregone conclusion. J.A. 54.

2. The Court's Conditional Evidentiary Ruling.

At the close of Tri County's case, the District moved for judgment as a matter of law. J.A. 78. Although the court denied the motion, it expressed concern about several aspects of the case, including the paucity of evidence supporting Tri County's claim for lost profits and Tri County's failure to take any steps to mitigate the damages that allegedly flowed from Cross's suspension of its building permit on September 22:

> THE COURT: . . . Now, the future earnings case . . . what is missing from this record . . . is evidence of the market for processing all this soil.
>
> Now, I know there's an expert who said, "Oh, yeah, there's enough soil around here to bring 75,000 tons a year." Sure, there's plenty of soil around; but you need more than soil, you need some established position in the marketplace.
>
> This -- there's nothing in the calculations of any of these experts that there's any buildup. This company is going 75,000 tons a year from day one of these calculations, all the way through, full capacity. No evidence about how he gets there, how he markets it, how he's going to make this thing run. And the expert -- the financial economist conceded that the profitability figure for this company is extraordinary.
>
> It looks very speculative to me. Now, I'm going to consider this further between now and the time this case goes to the jury. I'm not sure I'm going to send the future earnings question to the jury. If I do, however, it will be with the same ruling that I'm making now, which . . . is the conditional ruling that Rule 50 requires. . . .
>
> I think there is a hinge here somewhere between the past -- between the money that Tri County sank

into this enterprise of $600,000 and future earnings. The hinge has something to do with mitigation. It is one thing to say, as Tri County does say, it would have cost us a million dollars to save $600,000 because we would have had to buy the equipment and wait out an appeal.

That's perfectly understandable and maybe a complete defense to the mitigation claim with respect to the monies that were spent and lost; but for Tri County to make that decision, walk away from this, and then go for all of the future earnings without sinking the money into the appeal and going the next step to mitigate or to hang in there in a way that would permit them to pursue future damages may -- I say "may," because I'm not ruling at this time -- may as a matter of law mean that they're not entitled to future profits.

. . . Mr. Emig . . . what you have is a spreadsheet; you have a pro forma, without, it seems to me, very good proof either that the company could actually start up and do it or that there was a market for the numbers in the spreadsheet. And secondly, as I say, I've got this problem with mitigation. . . .

There's a line in your expert's report about how the competition is driving down the price per ton until it just covers operating costs.

MR. EMIG: Uh-huh.

THE COURT: And that that has driven one of the competitors out of business because he tried to take on too much. He didn't cover his operating costs.

Your numbers do a lot more than cover operating costs. They cover operating costs and return a profit of over 50 percent.

MR. EMIG: Right.

THE COURT: There's a query whether your own evidence establishes that you really have a market-competitive product here. . . . Whether it can . . . sell its own services at that price and deliver that profit is another question . . .. I think what I'm inclined to do is to let the jury decide how speculative that is and then go back and look at it with the luxury of a little hindsight and determine -- and if they -- if they think it is not too speculative, then, of course you have a leg up, but then I will have to decide how speculative it is as a matter of law and whether they should have had the case in the first place.

J.A. 77-80; see also J.A. 119 & 121.

3. The District's Case.

At trial, the District had several major themes. First, Tri County had failed to establish any basis for an award of lost future profits. In addition, the District made two basic *Carey v. Piphus* arguments: (1) all or some of Tri County's damages following Cross's procedurally deficient suspension of its permit on September 20 would have occurred nevertheless because of events independent of the suspension (*i.e.*, the stop work order issued two days later; the automatic suspension of Tri County's building permit following its default on the early September Notice of Infraction; and other regulatory health and safety hurdles); and (2) Tri County had failed to mitigate, or to avoid, avoidable damages arising from the District's failure to afford it an opportunity to be heard prior to Cross's suspension. *See, e.g.*, J.A. 72-77, 89, 93 & 120-21.

Inspector Berrayarza explained why he had issued the Notice of Infraction in early September, 1993: Tri County was operating its business without a certificate of occupancy

as required by 11 D.C.M.R. § 3203.1, a certificate which could not be issued without numerous safety and health inspections. J.A. 80-81. Inspector Thomas, who had issued the September 22 stop work order, concurred. Tri County "was storing a lot of soil in the building" and a Tri County representative was "working" "by the weight station" and could not produce a certificate of occupancy. J.A. 82 & 83.

Lennox Simon, who was employed by the DCRA's Office of Adjudication, described the October 13 hearing on Tri County's Notice of Infraction, including Tri County's failure to appear and the Office's finding of guilt. J.A. 84-86. The Office's decision explained that Tri County's failure to appeal or to pay the fine within 15 days of service of the decision "'shall operate to suspend automatically the license or permit until the assessment is paid.'" J.A. 88. Tri County, however, neither appealed nor paid. J.A. 87.

On the matter of the September 20 suspension, Cross explained that the October 15, 1993, letter "was sent to . . . *establish a process which would afford -- which would resolve the issues that had arisen, to establish a process and to get the necessary information from Tri County.*" J.A. 89 (emphasis added); see also J.A. 93. He did not believe that Tri County had supplied all the information sought in the letter, and he confirmed that the District's BAR was an agency independent of the Mayor. J.A. 90-92. See also J.A. 102 (Sweeney). In support of Cross's testimony, the District introduced "the two letters from the District of Columbia government to Tri County, October 15 and December 6, 1993, asking for follow-up information and informing them that they would be suspended if they didn't give that information." J.A. 122.

Insofar as health and safety is concerned, the District called a DCRA environmental specialist, James Sweeney, who

testified, *inter alia*, that Tri County had misrepresented in its application the distance of its plant from nearby residences and the traffic this facility would cause. J.A. 93-99. Although Selzer had informed the DCRA that the closest residence was more than 700 feet, or more than two football fields, away from the facility, the closest house was only 50 to 70 feet away and there were other homes within 700 feet. J.A. 96.

In addition, the District unsuccessfully proffered Dr. Alfred A. Siess to demonstrate that Tri County's proposed plant presented serious health and safety risks. J.A. 104-10. Dr. Siess explained to the court that the health and safety risks of thermal remediation of oil-contaminated soil were greater than those of other methods; that Tri County's application was incomplete; and that its proposed method of performing the required stack tests -- using soil that had been stored "for a long period of time" "would be completely inappropriate for running any kind of a meaningful stack test." J.A. 108. In Pennsylvania, for example, every application for a permit to treat contaminated soil thermally, whether using Gencor or other equipment, had been "rejected because of not meeting requirements for protecting the health, safety, and welfare." J.A. 111; see also J.A. 112.

Finally, Francine James described the BAR's procedures for emergency appeals and stays of adverse agency decisions. J.A. 103.

4. The District Court's Evidentiary Rulings And The Jury's Verdict.

Importantly, before sending the case to the jury, the court, acting on a motion from Tri County, struck "all . . . of the testimony . . . on the health and safety aspects of this project" because it had determined "that the permitting process fully

considered those issues and resolved them." J.A. 123.[4] The evidence stricken included much of the testimony of the District's environmental specialist, Sweeney, and of Cross. See J.A. 91 & 122-23. In addition, because they raised health and safety concerns, the court struck the District's October 15 invitation to Tri County to be heard, as well as the December 6 letter suspending its project for failing to respond to the earlier letter and for misrepresenting the distance of its facility from nearby residences. J.A. 119 & 122.

On this truncated evidentiary record, the jury awarded $5,000,000. The District filed a motion for judgment as a matter of law or, in the alternative, for a new trial.

D. The District Court's New Trial Order.

The district court granted a new trial for several reasons. First, although Tri County could be excused from expending money to protect its investment of under $500,000 in the project, it was "unreasonable *per se*" for Tri County to take the position that it was entitled to some $11,000,000 in future profits "without investing a penny to seek reinstatement of the unlawfully suspended building permit." Pet. App. 13.

Second, "[t]he jury's award of future profits . . . was based on expert testimony that should not have been received -- or, at least, should not have been received without allowing the District of Columbia to adduce proof that plaintiff's soil remediation facility would never have been permitted to operate." Pet. App. 13. The court criticized Tri County's "pro-forma statement of income and expenses" (Pet. App. 13),

[4]However, Tri County's permit required it to comply with District laws and subjected it to numerous reviews, reporting requirements, and conditions. J.A. 126-31.

which it had ruled pretrial was "insufficient to establish loss of profits with reasonable certainty." J.A. 34. Furthermore, Tri County had "no experience in the business of 'burning' soil for remediation" and Tri County's expert had failed to analyze the significance of "the recent failure of a similar remediation facility in Virginia" and of "the diminishing market price per ton for cleaning petroleum contaminated soil." Pet. App. 13.[5]

Third, "the jury's award of some $4.5 million in assertedly lost profits was in any event grossly excessive and shocks the judicial conscience, particularly in view of the realistic prospect, which I did not permit defendants to prove at trial, that there would be continued community resistance" to the project and "a very real likelihood that the District of Columbia would have closed down the remediation facility sooner or later in any event, or that it never would have been permitted to commence operations at all." Pet. App. 13-14.

Accordingly, a new trial was necessary unless Tri County accepted "a remittitur of the jury's verdict to $1 million." Pet. App. 14. Tri County declined.

E. The Second Trial.

At the second trial, the court admitted the District's evidence (1) supporting its *Carey v. Piphus*/mitigation-of-damages arguments and (2) rebutting Tri County's claims that only Mr. Cross's temporary suspension of its building permit

[5]As noted, Tri County's *pro forma* statement projected whopping profits. For example, in its first year of operation, it projected revenues of $3,367,500 and expenses of $1,335,908, resulting in a profit of $2,031,592, a profit even its financial expert admitted was extraordinary. J.A. 70.

stood in the way of it securing a certificate of occupancy. This evidence included the District's written invitation to Tri County to be heard and its failure to respond. This evidence also included health and safety information about the project and the regulatory hurdles Tri County would have faced irrespective of the procedurally flawed suspension.

With a more complete record before it, the jury returned a verdict of $100. J.A. 7.

F. The D.C. Circuit's Decision.

Tri County appealed the order granting the new trial. The D.C. Circuit reversed using, as its standard of review, its recently developed "more searching inquiry" standard. Pet. App. 5 & 10. *See, e.g., Langevine v. District of Columbia*, 106 F.3d 1018, 1023 (D.C. Cir. 1997); *Hutchinson v. Stuckey*, 952 F.2d 1418, 1421 (D.C. Cir. 1992). This standard arises from the court's "'concern that a judge's nullification of the jury's verdict may encroach on the jury's important fact-finding mission.'" Pet. App. 5, quoting *Langevine*, 106 F.3d at 1023. Accordingly, "close scrutiny is required in order to protect the litigants' [Seventh Amendment] right to jury trial." *Hutchinson*, 952 F.2d at 1421.

Using its "more searching inquiry" standard, the D.C. Circuit ruled that the district court had abused its discretion in granting a new trial. Thus, despite acknowledging the legal requirement that an injured party take "all the reasonable steps" to mitigate its damages, Tri County, even when seeking more than $11,000,000 (and recovering some $4,500,000) in lost future profits, need not take *any steps* at all. Pet. App. 7. In the D.C. Circuit's view, the district court's failure-to-mitigate ruling was an improper *per se* ruling. Pet. App. 7.

The court also "question[ed]" the ruling that the award was grossly excessive and shocking. Pet. App. 9. In its view, the award was reasonable because it was less than half the amount Tri County had claimed. Pet. App. 9.

Finally, the D.C. Circuit stated:

> . . . [T]he trial court tried to cover all bases in its order granting a new trial but the order reveals that the court's real concern was its exclusion of evidence regarding health and safety issues which may have led to community resistance and, perhaps, regulatory barriers to Tri County's project.

Pet. App. 9. In assessing the evidentiary rulings, the D.C. Circuit did not ask whether the district court had acted permissibly in ultimately concluding that it should have admitted this evidence. Instead, in an effort to preserve the jury's verdict, the D.C. Circuit asked whether the district court could permissibly have excluded the District's health and safety evidence. The D.C. Circuit ruled that "the district court did not abuse its discretion in excluding the evidence." Pet. App. 10. Again invoking its "'more searching inquiry'" standard, the court ruled: "In light of our findings that Tri County's evidence was properly before the jury and the District's evidence was properly excluded, we conclude that the district court, in granting a new trial based on a revised view of its original rulings, did abuse its discretion." Pet. App. 10.[6]

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[6]For reasons we do not understand, the D.C. Circuit mistakenly seemed to believe that the District's written invitation to Tri County to be heard and Tri County's refusal to respond were relevant only to whether legitimate health and safety concerns might have impeded Tri County. (continued...)

G. Rehearing Denied.

The District filed a petition for rehearing and suggestion for rehearing *en banc*. It argued that the D.C. Circuit had extant two conflicting standards for reviewing district court orders granting new jury trials and that *Gasperini v. Center for Humanities, Inc.*, 518 U.S. 415 (1996), unequivocally had ruled that the District's proffered standard -- an abuse of discretion standard that accords substantial deference to the trial court -- was correct. In addition, and related to that point, the District urged that the court had erred in reviewing the district court's trial decisions excluding and striking evidence, rather than its ultimate, post-trial decision that this evidence should have been admitted, and thus that a new trial was required for that reason, as well as for the others set forth in its new trial order. J.A. 7.

The D.C. Circuit denied rehearing. Pet. App. 16 & 17.

SUMMARY OF ARGUMENT

The D.C. Circuit impermissibly overturned the considered judgment of the district court ordering a new trial and thus improperly reinstated a $5,000,000 jury verdict against the District of Columbia. For the reasons that follow, this Court should reverse the decision and affirm the new trial order.

In *Gasperini*, this Court held that the Seventh Amendment affords district court judges broad discretion in overseeing

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[6](...continued)
This oversight is important, given that this case is a procedural due process case in which Tri County claims damages arising from the absence of an opportunity to be heard and the District contends that Tri County failed to mitigate its damages from the procedurally flawed suspension.

jury trials and that appellate courts are correspondingly strictly constrained by an abuse of discretion standard in reviewing new trial decisions. By contrast, the D.C. Circuit maintains that the Seventh Amendment strictly limits the discretion of district court judges to order new trials and that, as a result, appellate courts must apply a "'more searching inquiry'" standard in reviewing orders granting new trials. Pet. App. 5, quoting *Langevine*, 106 F.3d at 1023; see also Pet. App. 10. The D.C. Circuit's standard is flatly inconsistent with *Gasperini*.

As an adjunct to its "more searching inquiry" standard, arising from its Seventh Amendment concerns, the D.C. Circuit also ruled that it will review, under an abuse of discretion standard, evidentiary rulings at trial even when the district court judge, upon reflection and in the context of the entire case, has abandoned those rulings in a post-trial order granting a new trial. Accordingly, the ultimate judgment of the district court judge may be ignored even if that judgment is not an abuse of discretion. This approach wrongfully permits an appellate court to substitute its judgment for that of the trial judge.

This Court should make clear that *Gasperini* directs that appellate courts give ample deference to the judgments of district court judges when they order new trials. This approach is also supported by history, longstanding precedents of this Court, and post-*Gasperini* Circuit decisions. This authority establishes that the abuse of discretion standard applies to appellate review of orders granting new trials and requires appellate courts to accord deference to the unique position of the district court.

When the correct standard is applied, it is clear that the D.C. Circuit wrongly substituted its judgment for the consid-

ered judgment of the district court ordering a new trial. Judge Robertson acted well within his discretion in ruling that a new trial was necessary because, *inter alia*, (1) Tri County's *pro forma* profit projections were speculative, given the evidence of real market conditions; (2) an injured party who seeks more than $11,000,000 in damages, based upon a procedural due process violation, cannot be said to have taken reasonable steps to mitigate damages when it takes no available steps whatsoever; and (3) his evidentiary rulings disabled the jury from properly performing its function.

ARGUMENT

I. THE D.C. CIRCUIT'S STANDARD FOR REVIEWING ORDERS GRANTING NEW TRIALS CONFLICTS WITH THIS COURT'S DECISION IN *GASPERINI*.

A. *Gasperini* Holds That Federal Appellate Courts Must Give Substantial Deference To District Courts In Reviewing New Trial Orders.

Gasperini was a diversity case in which this Court, in a complex decision, ruled that federal courts, without offending the Seventh Amendment, could apply a state statute authorizing them to determine whether jury verdicts deviate materially from what would be reasonable compensation.[7] In *Gasperini*, the Court also addressed the respective roles of federal trial judges and appellate courts in administering the substantive

[7]Under the state law, courts were "empowered to review the size of jury verdicts and to order new trials when the jury's award 'deviates materially from what would be reasonable compensation.'" *Gasperini*, 518 U.S. at 418. The law also provided that both the state trial, and the intermediate appellate, courts should apply this standard. *Id.* at 437-38.

law governing damages. Even in a diversity case, these are distinctly federal questions: "'The proper role of the trial and appellate courts in the federal system in reviewing the size of jury verdicts is . . . a matter of federal law.'" *Id.* at 437, quoting *Donovan v. Penn Shipping Co.*, 429 U.S. 648, 649 (1977) (*per curiam*).

Gasperini stands for two fundamental principles. First, despite the Reexamination Clause of the Seventh Amendment, appellate courts may review orders granting or denying new trials on evidentiary grounds. Second, appellate courts, in reviewing such orders, must exercise "'restraint'" and "'*give the benefit of every doubt to the judgment of the trial judge.*'" *Gasperini*, 518 U.S. at 438-39, quoting *Dagnello v. Long Island R. Co.*, 289 F.2d 797, 806 (2d Cir. 1961) (emphasis added). Or, as this Court put it twenty years ago, "[t]he authority to grant a new trial . . . is confided almost entirely to the exercise of discretion on the part of the trial court." *Allied Chemical Corp. v. Daiflon, Inc.*, 449 U.S. 33, 36 (1980).

In so ruling, the Court relied on history and longstanding precedent. It acknowledged that "'[t]he power of the English common law trial courts to grant a new trial for a variety of reasons with a view to the attainment of justice was well established prior to the establishment of our Government.'" 518 U.S. at 433, quoting 6A MOORE'S FEDERAL PRACTICE ¶59.05[2], pp. 59-44 to 59-46 (2d ed. 1996). Furthermore, quoting Justice Story, the Court reaffirmed that, "'[i]f it should clearly appear that the jury have committed a gross error . . . or have given damages excessive in relation to the person or the injury, it is as much the duty of the court to interfere, to prevent the wrong, as in any other case.'" 518 U.S. at 433, quoting *Blunt v. Little*, 3 F. Cas. 760, 761-62 (No. 1,578) (C.C. Mass. 1822). In short, "'the trial judge in

the federal system . . . has . . . *discretion to grant a new trial if the verdict appears to [the judge] to be against the weight of the evidence*,'" and this "*discretion includes overturning verdicts for excessiveness* and ordering a new trial without qualification, or conditioned on the verdict winner's refusal to agree to a reduction (remittitur)." 518 U.S. at 433, quoting *Byrd v. Blue Ridge Rural Elec. Cooperative, Inc.*, 356 U.S. 525, 540 (1958) (brackets supplied by the Court) (emphasis added).

History thus makes clear that "primary responsibility" for application of damages law is "lodge[d] in the district court, not the court of appeals . . .." 518 U.S. at 438. There are sound reasons for this allocation of power: "Trial judges have the 'unique opportunity to consider the evidence in the living courtroom context,' . . . while appellate judges see only the 'cold paper record.'" 518 U.S. at 438, quoting respectively *Taylor v. Washington Terminal Co.*, 409 F.2d 145, 148 (D.C. Cir.), *cert. denied*, 396 U.S. 835 (1969), and *Gasperini v. Center for Humanities, Inc.*, 66 F.3d 427, 431 (2d Cir. 1995). As a consequence, if an appellate court reverses, "'it must be because of an abuse of discretion . . .. The very nature of the problem counsels restraint . . ..'" 518 U.S. at 438, quoting *Dagnello*, 289 F.2d at 806. Such restraint requires a federal appellate court to "'*give the benefit of every doubt to the judgment of the trial judge.*'" 518 U.S. at 438-39, quoting *Dagnello*, 289 F.2d at 806 (emphasis added).

In *Gasperini*, no Member of this Court questioned the principle that a judicial grant of a new trial in appropriate cases was a central feature of the English common law in the Eighteenth Century. Instead, the Court divided over how the particulars of Eighteenth Century practice should be applied to our modern federal judicial system. By the mid-Eighteenth Century, England had developed a judicial system in which *en*

banc trial courts were granted the power to review a single judge's written recommendation of a new trial on fact-based grounds. The judge who presided over the case "rode the Circuit" throughout England and sat as a court *nisi prius*, replacing a system in which all jury trials were held at Westminster. *See, e.g.*, *Gasperini*, 518 U.S. at 455 (Scalia, J., dissenting); G.R.Y. Radcliffe & Geoffrey Cross, THE ENGLISH LEGAL SYSTEM 90, 183-84 (3d ed. 1954). The full trial court, which sat at Westminster, reviewed the judge's recommendation for a new trial; the formal appellate court could review a jury verdict only for errors of law. *See, e.g.*, *Gasperini*, 518 U.S. at 443 (Stevens, J., dissenting); *id.* at 455-56 (Scalia, J., dissenting); *Fairmount Glass Works v. Cub Fork Coal Co.*, 287 U.S. 474, 482 n.9 (1933); Radcliffe & Cross, *supra*, at 211-12; Charles Alan Wright, Arthur R. Miller and Mary Kay Kane, 11 FEDERAL PRACTICE & PROCEDURE: CIVIL 2D § 2819 at 204 (2d ed. 1995).

In *Gasperini*, the Court was faced with a thorny problem. The first Congress, which had approved the Seventh Amendment expressly referencing the common law as a guide, had not adopted the *nisi prius* system of court organization in which trial courts sat *en banc* to review new trial recommendations on evidentiary grounds. See *infra* at 34-35. Accordingly, unless federal appellate courts were given some authority to review new trial rulings on such grounds, the decisions of individual district court judges, in contrast to common law practice, would be unreviewable. On the other hand, formal appellate courts in mid-Eighteenth Century England were limited to reviewing errors of law, and extending them a role in reviewing new trial rulings on fact-based grounds would also be contrary to common law practice.

In *Gasperini*, the majority found that English common law would permit today modest appellate review, under an abuse

of discretion standard, of a district court's new trial ruling based on evidentiary concerns. In other words, the modern federal appellate court could play, in a limited fashion, the role played by the full Eighteenth Century trial court sitting in Westminster. 518 U.S. at 435-36. By contrast, Justice Stevens would have allowed federal appellate courts a larger role. *Id.* at 439-49. Again, by contrast, Justice Scalia, joined by the Chief Justice and Justice Thomas, would have ruled that these courts are limited to performing the role of a formal appellate court of the Eighteenth Century and thus restricted to reviewing only purported errors of law. *Id.* at 449-62.[8]

Despite these disagreements, however, no Member of this Court denied the central role and responsibility of the *nisi prius* judge in setting aside a jury verdict based on a re-examination of the facts and similar matters. Unquestionably, moreover, a new trial was an important feature of the common law right to a jury trial. As Blackstone wrote: "[L]ong experience has shewn[] that a motion for a second trial is the shortest, cheapest, and most effectual cure for all imperfections in the verdict; whether they arise from the mistakes of the parties themselves, of their counsel or attornies, or even of the judge or jury." III William Blackstone, COMMENTARIES ON THE LAW OF ENGLAND 393 (1768) (A FACSIMILE OF

[8]Although we have recited relevant historical facts from the dissenting opinions in *Gasperini*, we agree with the middle position taken by the Court. As Professor E.W. Hinton observed in criticizing *Fairmount Glass Works*, holding that federal court appellate review is limited to errors of law, "[i]t is to be regretted that the majority opinion [in that case] should strain the doctrine of discretion to limit the power of appellate review, when the absence of a [trial] court in banc has deprived the litigant of an important common law safeguard." Hinton, *Power of Federal Appellate Court to Review Ruling on Motion for New Trial*, 1 U. Chi. L. Rev. 111, 114 (1933).

THE FIRST EDITION OF 1765-1769) (Univ. of Chicago Press (1979)).[9]

B. History Supports The District's Position.

In *Gasperini*, this Court undertook an extensive examination of history in reaching its conclusions. Here, we merely emphasize several aspects of the history of the Seventh Amendment that shed light on the relationship between the trial judge and the jury. This history supports the argument that, under the Seventh Amendment, a district court judge has broad discretion to order new jury trials for a variety of reasons, including his determination that the verdict is against the weight of the evidence, the damages award is excessive, and/or he unwisely excluded evidence from the jury's consideration. An order granting a new jury trial does not deprive a prevailing litigant of its constitutional right to a jury trial, whether that litigant be a plaintiff or defendant, but only of a particular verdict.

1. The Jury Trial in Eighteenth Century England.

By the mid-Eighteenth Century in England, the writ of attaint, permitting severe penalties to be imposed on jurors who failed to render a proper verdict, had fallen into disfavor and had been largely replaced by a court order granting a new trial. III Blackstone, COMMENTARIES, *supra*, at 374-75 &

[9]Professor John H. Langbein, who wrote the introduction to this volume, states that "there is much reason to believe that Blackstone's assessment" of the efficiency of civil jury trials "was a fair one" at the time. *Id.* at vii.

389.[10] According to Blackstone, a litigant at that time could be awarded a new trial, and the judgment suspended, for a variety of reasons:

> Of this sort are want of notice of trial; or any flagrant misbehaviour of the party prevailing towards the jury, which may have influenced their verdict; or any gross misbehaviour of the jury among themselves: **also if it appears by the judge's report, certified to the court, that the jury have brought in a verdict without or contrary to evidence, so that he is reasonably dissatisfied therewith; or if they have given exorbitant damages; or if the judge himself has mis-directed the jury, so that they found an unjustifiable verdict**; for these, and for other reasons of the like kind, it is the practice of the court to award a *new*, or a second, *trial*. But if two juries agree in the same or a similar verdict, a third trial is seldom awarded: for the law will not readily suppose, that the verdict of any one subsequent jury can countervail the oaths of two preceding ones.

Id. at 387 (bold added; italics in original) (footnotes omitted). *See also id.* at 388 (". . . [T]he maxim at present adopted being this, that (in all cases of moment) where justice is not done upon one trial, the injured party is intitled to another.") (footnote omitted); Thomas Wood, AN INSTITUTE OF THE LAWS OF ENGLAND 602 (3d ed. 1724) ("A Verdict may be set

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[10]We rely heavily on Blackstone because of his prominence not only in Eighteenth Century England but also Eighteenth Century America. As one noted scholar has stated, "the important thing about the *Commentaries* is not that an obscure lecturer at Oxford wrote them, but that, for more than a hundred years, thousands upon thousands of lawyers and influential laymen on both sides of the Atlantic read them and believed them." Grant Gilmore, THE AGES OF AMERICAN LAW 5 (1977).

aside by the Judge, If it appears to Him to be Given against Evidence, or against His Direction, or where they Give Excessive Damages, &c. and He may Order a New Trial."); J.H. Baker, AN INTRODUCTION TO ENGLISH LEGAL HISTORY 100-01 (3d ed. 1990).

There were several reasons for the disappearance of the writ of attaint and the emergence of a new trial as a remedy for unsound jury verdicts. These reasons also caused the broadening of the grounds for a new trial well beyond jury misconduct that amounted to perjury. Very early on, the jury was composed of people who knew about the dispute; evidence was not necessary; and the trial judge necessarily played a very limited role in their decision. *See, e.g.*, Blackstone, *supra*, 374-75; Note, *Appealability of Rulings on Motion for New Trial in the Federal Courts*, 98 U. Pa. L. Rev. 575 (1950); Mitnick, *From Neighbor-Witness to Judge of Proofs: The Transformation of the English Civil Juror*, 32 Am. J. of Legal History 201, 201-02 (1988). In addition, the writ of attaint "laid the injured party under an insuperable hardship, by making a conviction of the jurors for perjury the condition of his redress." Blackstone, *supra*, at 389. Finally, given that jurors were no longer personally knowledgeable about the case before them and heard evidence instead, judges began to understand that erroneous and unjust verdicts may stem from causes other than juror misconduct:

> Our ancestors . . . supposed that, the law being told to the jury by the judge, the proof of fact must always be so clear, that, if they found a wrong verdict, they must be willfully and corruptly perjured. Whereas a juror may find a just verdict from unrighteous motives, which can only be known to the greatest searcher of hearts; and he may, on the contrary, find a verdict very manifestly wrong, without any bad mo-

> tive at all: from inexperience in business, incapacity, misapprehension, inattention to circumstances, and a thousand other innocent causes.

Id. at 389.[11] In addition, "[i]n the hurry of a trial the ablest judge may mistake the law, and misdirect the jury; he may not be able to state and range the evidence as to lay it clearly before them; nor to take off the artful impressions which have been made on their minds by learned and experienced advocates." *Id.* at 390. Even "the most intelligent and best intentioned men may bring in a verdict, which they themselves upon cool deliberation would wish to reverse." *Id.* at 390.

As a consequence, a new trial, rather than being in derogation of the common law right to a jury trial, was part and parcel of that guarantee:

> GRANTING a new trial, under proper regulations, cures all these inconveniences [, errors and misimpressions by the trial judge and the jury,] and at the same time preserves intire and renders perfect that most excellent method of decision, which is the glory of the English law. *A new trial is a rehearing of the cause before another jury, but with as little prejudice to either party, as if it had never been heard before. . . . The parties come better informed, the counsel better prepared, the law is more fully understood, the judge is*

[11]The common law in Eighteenth Century England provided for correction of jury verdicts even though the trial judge played a very active role in advising the jury – "by his weighing of the evidence before them, and by observing where the question and knot of the business lies, and by showing them his opinion even in matter[s] of fact, which is a great advantage and light to laymen." *Capital Traction Co. v. Hof*, 174 U.S. 1, 14 (1899) (internal quotation marks omitted).

> *more master of the subject; and nothing is now tried but the real merits of the case.*

Id. at 391 (emphasis added). Had the first jury "possessed the same lights and advantages" as the second, they "would probably have altered their own opinion." *Id.* at 391.

2. The Jury Trial in Eighteenth Century America.

At the time the Seventh Amendment was proposed, the procedures for precluding civil cases from being presented to juries and for setting aside their verdicts varied among the 13 original states. *See, e.g.*, Henderson, *The Background of the Seventh Amendment*, 80 Harv. L. Rev. 289, 299-320 (1966). This was because each of the states "had begun borrowing from a slightly different stage of English historical development" and "the English practice itself [had not] attained any systematic clarity." *Id.* at 299. However, "the new trial, when a verdict was 'against the law' or 'against evidence,' was used in eleven . . .." *Id.* at 313. New Hampshire and Massachusetts, for example, "granted the equivalent of new trials as of right . . . regardless of the state of the evidence." *Id.* at 313. And, in Massachusetts, litigants could secure as many as five new trials until 1757, when, by statute, they were limited to "'the best two out of three . . ..'" *Id.* at 313.

On September 17, 1787, the Constitution was approved in Philadelphia; it became effective on June 21, 1788.[12] Article III provided that, except in cases affecting ambassadors and the like and cases in which a state is a party, "the supreme

[12]The dates in this section of the brief come from the Commission on the Bicentennial of the United States Constitution, The Constitution of the United States 36-37 (1987).

Court shall have appellate Jurisdiction, both as to Law *and Fact*, with such Exceptions, and under such Regulations as the Congress shall make." U.S. CONSTITUTION Art. III, sec. 2 (emphasis added). Article III engendered spirited antifederalist opposition within the country for two principal reasons. See Henderson, *supra*, at 292-99; Parker, *Free Expression and the Function of the Jury*, 65 B.U. L. Rev. 483, 498 (1985). First, the grant to the Supreme Court of the power to review facts invoked the memory of the distant Privy Council in England overturning jury verdicts rendered in the colonies. Henderson, *supra*, at 295; Homer Carey Hockett, THE CONSTITUTIONAL HISTORY OF THE UNITED STATES 54-55 (1939). Second, there was no guarantee of a trial by a jury of one's peers in civil cases. *See* Henderson, *supra*, at 297; Parker, *supra*, at 498.

The first Congress convened on March 4, 1789. By agreement between the anti-federalists and the federalists during the ratification of the Constitution, it quickly enacted the Judiciary Act, Act of September 24, 1789, ch. 20, 1 Stat. 73 (1789), and approved the Seventh Amendment. Sections 9, 12, and 13 of the Judiciary Act provided that "the trial of issues in fact . . . shall be by jury" in all United States courts having original jurisdiction (the district, circuit, and Supreme Court). 1 Stat. 77, 80 & 87. The establishment of thirteen district courts ensured that jury trials would be conducted locally. Judiciary Act, §§ 2-4 & 9, 1 Stat. 73-75 & 76-77. Section 17 of the Act, mirroring the Seventh Amendment, provided that "all the . . . courts of the United States shall have power to grant new trials, in cases where there has been a trial by jury for reasons for which new trials have usually been granted in the courts of law . . .." 1 Stat. 83. Finally, the Act provided for judicial review of civil judgments only "'upon a writ of error'" and stated that "'there shall be no

reversal in either [the Circuit or Supreme Court] . . . for any error of fact.'" Judiciary Act, § 22, 1 Stat. 84-85.

The Seventh Amendment, which was approved by Congress and transmitted to the state legislatures on September 25, 1789, contained very general language, largely because of the varying practices of the states. *See* Henderson, *supra*, at 294. It provides, in pertinent part: "In Suits at common law, where the value in controversy shall exceed twenty dollars, the right of trial by jury shall be preserved, and no fact tried by a jury, shall be otherwise re-examined in any Court of the United States, than according to the rules of the common law." It became effective as part of the Bill of Rights on December 15, 1791.

In contrast to the spirited opposition to Article III because it authorized the Supreme Court to review facts on appeal and failed to provide for jury trials in suits at common law, "[n]owhere in the history of the Philadelphia convention, the ratifying conventions of the several states, or the specific 'legislative history' of the Bill of Rights can any evidence be found that the relationship of judge to jury was considered as affected in any but the most general way by the seventh amendment, or even that it was considered at all." Henderson, *supra*, at 290. The absence of any debate suggests a consensus that federal trial judges could grant new trials in the circumstances permitted by the English common law.

C. This Court Has Traditionally Recognized The Primacy Of The Federal District Court Judge In Granting New Trials.

Gasperini's emphasis on the primacy of the trial court in reexamining facts is not new. This Court has long recognized that federal trial courts may order new trials on evidentiary

grounds. *See, e.g., United States v. Laub*, 37 U.S. (12 Pet.) 1, 9 (1838) ("For it is a point too well settled, to be now drawn in question, that the effect and sufficiency of the evidence, are for the consideration and determination of the jury; and the error is to be redressed, if at all, by application to the court below for a new trial . . .."); *Barreda v. Silsbee*, 62 U.S. (21 How.) 146, 166 (1858) (observing that "it is well known that the only modes known to the common law of re-examining the facts of a case, after they have been found by a jury, are the granting of a new trial by the court where the issue was tried, or to which the record was properly returnable"); *Railroad Co. v. Fraloff*, 100 U.S. 24, 31 (1879) (Harlan, J.) (If a jury has awarded too large a verdict, because of "a gross mistake of facts," or "some improper influence or bias, the remedy . . . rested with the court below, under its general power to set aside the verdict."); *Northern Pac. R.R. v. Herbert*, 116 U.S. 642, 646-47 (1886) (Field, J.) ("The exaction, as a condition of refusing a new trial, that the plaintiff should remit a portion of the amount awarded by the verdict was a matter within the discretion of the [trial] court. It held that the amount found was excessive, but that no error had been committed at trial. In requiring the remission of what was deemed excessive it did nothing more than require the relinquishment of so much of the damages as, in its opinion, the jury had improperly awarded. The corrected verdict could, therefore, be properly allowed to stand."); *Arkansas Valley Land & Cattle Co. v. Mann*, 130 U.S. 69, 74 & 75-76 (1889) (Harlan, J.) (upholding decision of trial court to remit a jury verdict against a challenge by defendant that the remission, which was accepted by the plaintiff, denied it its Seventh Amendment right to a trial by jury; affirming that the remission practice approved in *Railroad Co. v. Herbert* "is sustained by sound reason, and does not, in any just sense, impair the constitutional right of trial by jury"; observing that "[i]t cannot be disputed that the [trial] court is within the

limits of its authority when it sets aside the verdict of the jury, and grants a new trial, where the damages are palpably or outrageously excessive"; and holding that "[w]hether the verdict should be entirely set aside upon the ground that it was excessive, or was the result of prejudice, or of a reckless disregard of the evidence or of the instructions of the court, or whether the verdict should stand after being reduced to such amount as would relieve it of the imputation of being excessive, are questions addressed to the discretion of the [trial] court"); *Southern Ry. v. Bennett*, 233 U.S. 80, 87 (1914) (Holmes, J.) (upholding decision of state trial court to remit a jury verdict in a negligence case brought pursuant to federal law against defendant's argument that the verdict was still too excessive and holding that "a case of mere excess upon the evidence is a matter to be dealt with by the trial court"); *Cone v. West Virginia Pulp & Paper Co.*, 330 U.S. 212, 216 (1947) (recognizing that discretion to direct a verdict or to order a new trial is reposed in the district court; that the district court "can exercise this discretion with a fresh personal knowledge of the issues involved, the kind of evidence given, and the impression made by witnesses" because he "saw and heard the witnesses and has the feel of the case which no appellate printed transcript can impart" and thus has "a perspective peculiarly available to him alone").[13]

There are several cases of particular interest here. In *Metropolitan R.R. v. Moore*, 121 U.S. 558 (1887), this Court ruled that the general term of the supreme court of the District

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[13]We acknowledge that many of these cases, if not all, also ruled that federal appellate courts may review decisions of district courts only for legal error, a rule that was abandoned by this Court in *Gasperini*. However, as the opinion for the Court also indicates, it did not question the validity of these cases insofar as they addressed the relationship between the district court and the jury.

of Columbia could review orders of the special term of the *same court* granting or denying motions for a new trial on the ground that the jury's verdict "was against the weight of the evidence . . .." *Id.* at 570. However, as in the case of the *nisi prius* system in Eighteenth Century England, this Court ruled that the general term must give deference to the judge who heard the case:

> It is quite true . . . that the judge sitting at special term on the trial of a cause by a jury is, from the nature of the case, better qualified, because he sees the witnesses and hears them testify, to judge whether the verdict is warranted by the evidence, than other judges, even of the same court, who are called in to decide the same question upon a report of the testimony in writing; and where the question comes up in general term, on an appeal, all proper allowance will be made, in its consideration, for that difference, and its due weight given to the order of the judge at special term . . ..

Id. at 573.

In *Capital Traction Co. v. Hof*, 174 U.S. 1 (1899), this Court held that the Seventh Amendment was not offended by a two-tier jury system established by Congress for the District of Columbia in which certain causes were to be tried first before a justice of the peace, either with or without a jury, and which permitted either party in a case involving more than $20 to secure another jury trial in the local supreme court. The fact that the first jury trial did not satisfy the Seventh Amendment did not render the system unconstitutional. This Court explained that the right to a jury trial was not satisfied merely by having 12 men decide a case. Instead, "it is a trial by a jury of 12 men in the presence and under the superintendence of a judge empowered to instruct them on the law and to advise them on the facts, and (except on acquittal of a criminal charge) to set aside their verdict, if, in his opinion, it is against the law or the evidence." *Id.* at 13-14.

In *Patton v. Texas & Pacific Railway Co.*, 179 U.S. 658 (1901), this Court affirmed a decision of the court of appeals affirming a decision of the trial court to direct a verdict for the defendant at the second trial of a negligence case. In ruling that the directed verdict was proper, even though the first jury had rendered a verdict for plaintiff, this Court acknowledged that "seldom [does] an appellate court reverse[] the action of a trial court . . . for a verdict one way or another." *Id.* at 660. It explained that the trial

> judge is primarily responsible for the just outcome of the trial. He is not a mere moderator of a town meeting, submitting questions to the jury for determination, nor simply ruling on the admissibility of testimony, but one who in our jurisprudence stands charged with full responsibility. He has the same opportunity that jurors have for seeing the witnesses, for noting all those matters in a trial not capable of record, and when in his deliberate opinion there is no excuse for a verdict save in favor of one party, and he so rules by instructions to that effect, an appellate court will pay large respect to his judgment.

Id. at 660.

In short, this Court has long recognized that the Seventh Amendment does not preclude federal trial judges from ordering new trials either because they have concluded that the weight of the evidence does not support the verdict, the damages award is excessive, or for other evidentiary reasons.

Indeed, federal trial judges promote the values of the Seventh Amendment when ordering a new jury trial on these grounds.

D. Circuit Interpretation Supports The Argument That *Gasperini* Requires Narrow Appellate Review Of The District Court's Broad Discretion To Grant New Trials.

Despite the clarity of this Court's jurisprudence, there has long been an intolerable conflict among the Circuits over the standard of appellate review of new trial orders. A number of Circuits have departed from this Court's consistent teachings throughout the years by holding that the Seventh Amendment strictly constrains the district court's discretion to order new trials and requires close appellate scrutiny of new trial orders. Others have not. See Pet. at 24-25.[14]

This conflict continues despite *Gasperini*, whose significance has eluded several Circuits, including the D.C. Circuit. However, several other Circuits have properly interpreted *Gasperini* as conferring substantial discretion on federal trial judges to order new trials for fact-based reasons and restricting appellate review of new trial orders.

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[14]Some scholars believe that this conflict stems from the 1948 revision and recodification of the Judicial Code in which the revisers deleted the longstanding prohibition against appellate reexamination of facts. Some appellate courts interpreted the deletion as giving them substantial power to reexamine facts in all cases, even though the revisers had stated that the deletion was made to preclude the inference that appellate courts could not reexamine facts in non-jury trials.. See Brief of Federal Jurisdiction and Legal History Scholars Akhil Reed Amar, Erwin Chemerinsky, Daniel R. Coquillette, Arthur F. McEvoy and Arthur R. Miller, and of Trial Lawyers for Public Justice, as *Amici Curiae* in Support of Petitioner in *William Gasperini v. The Center for Humanities*, No. 95-719, at 23-25 (March 1, 1996).

The significance of *Gasperini* in granting broad discretion to district courts to order new trials and in constraining appellate court review of such orders has been recognized by the Seventh Circuit, which previously had followed a standard similar to the D.C. Circuit's current approach, and the Second, Ninth, and Eleventh Circuits. In *Medcom Holding Co. v. Baxter Travenol Laboratories, Inc.*, 106 F.3d 1388 (7th Cir. 1997), the Seventh Circuit applied *Gasperini's* abuse of discretion standard to review a district court's grant of a new trial. In so ruling, the court observed that, prior to *Gasperini*, it had "applied this standard 'somewhat more exacting[ly]' when the district court granted a new trial because of Seventh Amendment considerations." *Id.* at 1397. Given *Gasperini*, however, the court, pursuant to its Circuit Rule 40(e), overruled its prior jurisprudence; abandoned its exacting scrutiny standard of appellate review; and announced that it would review grants of new trials "with somewhat more deference to the district court, utilizing an ordinary abuse of discretion standard . . .." *Id.* at 1397. *See also Consorti v. Armstrong World Industries, Inc.*, 103 F.3d 2, 5 (2d Cir. 1996) (ruling, on remand from this Court for reconsideration in light of *Gasperini*, that trial court decisions on new trial motions are subject to review under an abuse of discretion standard); *Central Office Telephone, Inc. v. American Tel. & Tel. Co.*, 108 F.3d 981, 993 (9th Cir. 1997) (describing *Gasperini* as holding "that the re-examination clause of the [Seventh Amendment] . . . does not inhibit the power of the trial judge to grant new trials or to order remittitur"), *rev'd on other grounds*, 524 U.S. 214 (1998); and *Johansen v. Combustion Engineering, Inc.*, 170 F.3d 1320, 1328-29 & 1334-35 (11th Cir.) (citing *Gasperini* and underscoring that appellate courts must defer to trial court orders granting remittiturs or new jury trials, given their unique opportunity to consider the evidence, including the credibility of witnesses), *cert. denied sub*

nom., *Combustion Eng'g, Inc. v. McGill*, 120 S. Ct. 329 (1999).

A number of other Circuits have continued to embrace a strict scrutiny approach after *Gasperini*, but without citing *Gasperini* (or understanding this Court's longstanding jurisprudence). *See Wilburn v. Maritrans GP, Inc.*, 139 F.3d 350, 363 (3rd Cir. 1998) (ruling that "a closer degree of scrutiny" applies to new trial orders); *Brady v. Fort Bend County*, 145 F.3d 691, 713 (5th Cir. 1998) (ruling that standard of appellate review governing denial of motion for new trial is more deferential than standard governing grant of new trial), *cert. denied*, 525 U.S. 1105 (1999); *Holmes v. Massillon, Ohio*, 78 F.3d 1041, 1047 (6th Cir.) (ruling that appellate court "must closely scrutinize the trial court's justifications in order to protect the litigant's right to a jury trial"), *cert. denied sub nom.*, *Fabianich v. Holmes*, 519 U.S. 935 (1996).

Given *Gasperini*, and the historical foundation for affording federal trial court judges substantial discretion in overseeing jury verdicts, this Court must reject the approach of those Circuits applying a strict scrutiny standard in reviewing orders granting new trials because, in the view of the trial judge, the verdict is against the weight of the evidence. As the Eleventh Circuit recently has put it, a district court's authority to order a new trial "is located in the common-law principle, later codified in the Judiciary Act of 1789, that "'[t]rials by jury in civil causes could not subsist now without a power, somewhere, to grant a new trial . . .. It is absolutely necessary to justice, that there should, upon many occasions, be opportunities of reconsidering the cause by a new trial.'" *Johansen v. Combustion Eng'g, Inc.*, 170 F.3d at 1328, quoting *Bright v. Eynon*, 1 Burr. 390, 393 (K.B. 1757) (Lord Mansfield).

E. The D.C. Circuit's Approach Conflicts With *Gasperini*, History, And This Court's Antecedent Jurisprudence.

The D.C. Circuit's "more searching inquiry" standard for appellate review of district court decisions granting new trials conflicts with *Gasperini*, this Court's longstanding antecedent jurisprudence, and with history. The D.C. Circuit gave no deference to Judge Robertson's "'unique opportunity to consider the evidence in the living courtroom context'" and he was not "give[n] the benefit of every doubt" in his decision to grant a new trial. *Gasperini*, 518 U.S. at 438, quoting *Taylor v. Washington Terminal Co.*, 409 F.2d at 148, and *Dagnello*, 289 F.2d at 806. Or, as the Seventh Circuit subsequently has stated, "[g]enerally, an abuse of discretion only occurs where no reasonable person could take the view adopted by the trial court." *McClain v. Owens-Corning Fiberglas Corp.*, 139 F.3d 1124, 1126 (7th Cir. 1998) (upholding order granting a new trial on damages) (internal quotation marks omitted). Instead, based on its misunderstanding that the Seventh Amendment acts as a restraint on trial, rather than appellate, judges, the D.C. Circuit brushed aside the reasons the trial judge, upon reflection, gave for granting a new trial. In effect, the D.C. Circuit assumed the role of the district court and substituted its judgment for that of Judge Robertson.

First, because the jury had awarded only about half of what Tri County had requested, the D.C. Circuit "question[ed]" the district court's considered judgment that the damages award was excessive. The "rule of thumb" applied by the D.C. Circuit seriously intruded into the district court's analysis of the excessiveness of the award in this case based on the evidence it had heard and the serious flaws in that evidence it had identified.

Second, the D.C. Circuit ruled that the district court had wrongly applied a *per se* rule on the issue whether Tri County had taken reasonable steps to mitigate the damages arising from Cross's suspension of its permit without a hearing. However, although the district court used this language, it did not direct a verdict but simply ordered a new trial. As the district court was well aware, Tri County had failed not only to seek administrative review of Cross's suspension, but even to respond to his post-suspension invitation to be heard. The district court, in the context of striking and excluding health and safety evidence from the case, simultaneously (and inadvertently, we believe) had precluded consideration of Cross's invitation to be heard. The D.C. Circuit misunderstood this point (see *supra* 21 note 6), which was no small matter in a procedural due process case.

Third, in what we believe is an unprecedented step, the D.C. Circuit, as part of its effort to preserve the jury's verdict, elected to review not the district court's ultimate evidentiary rulings but its abandoned trial rulings. On the latter point, the D.C. Circuit ruled that "the district court did not abuse its discretion in excluding the evidence" of health and safety concerns that might have triggered additional regulatory responses or have otherwise allowed the District to rescind its approval of Tri County's building permit. Pet. App. 10. This ruling, however, misses the mark. The issue was not whether the district court's abandoned trial rulings excluding and striking evidence were within its discretion. Instead, the issue was whether, in the living courtroom context, the district court abused its discretion in its post-trial ruling granting a new trial because, in its view, its evidentiary

rulings had unfairly prejudiced the District in the mind of the jury.[15]

Finally, the D.C. Circuit here appeared not to appreciate the narrow scope of the constitutional violation which it had identified in its liability decision -- the temporary suspension of Tri County's building permit without a hearing. Indeed, two days later, a valid stop work order was entered against Tri County for a regulatory violation. *Compare* J.A. 20 & 30 (observing that "all [parties] agree" that "the stop work order . . . was a legally sufficient bar to Tri County's continuing work on the facility" and remanding for consideration of "the possible mooting effect of the stop work order"). In addition, several weeks later, a District adjudicatory body found Tri County guilty of a pre-suspension regulatory violation, which resulted in an independent suspension of its building permit as a matter of law.

In short, under *Gasperini*, the D.C. Circuit's "more searching inquiry" standard is improper when the trial judge grants a new trial "'on the ground that the verdict is against the weight of the evidence.'" Pet. App. 10, quoting *Langevine*, 106 F.3d at 1023. That standard becomes even more improper when it causes an appellate court to review evidentiary rulings abandoned by the trial judge instead of the evidentiary rulings he has concluded, upon reflection, were proper. When a trial judge grants a new trial based, in whole or in part, on a reassessment of his own evidentiary rulings,

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[15]On this point, the D.C. Circuit criticized the District on the grounds that it "never met the trial court's repeated injunction to show how their health and safety issue would have triggered additional regulatory procedures or otherwise allowed the District to rescind its earlier approval." Pet. App. 10. However, the district court re-evaluated that matter after trial in light of the entire case. See also *infra* at 49.

he has concluded that he has disabled the jury from performing its function.

II. When The Proper Standards Are Applied, Judge Robertson Plainly Did Not Abuse His Discretion In Granting A New Trial.

Application of the proper legal standards to the new trial order here requires affirmance of that order. Damages in this case are governed in large measure by *Carey v. Piphus*, and mitigation-of-damages principles. See Pet. App. 7, 9-10. *Carey v. Piphus* holds that if plaintiffs prove only a procedural violation, they are entitled only to nominal damages unless they can show actual injury caused by the denial of process.[16]

1. Future Profits. The district court acted well within its discretion in setting aside the verdict as excessive. Throughout this case, the district court warned Tri County that its evidence of loss of profits was speculative and that its ultimate decision to allow the jury to consider this evidence was conditional. *See, e.g.*, J.A.78 & 121 (citing F. R. Civ. P. 50); see also J.A. 33, citing *Story Parchment Co. v. Patterson Paper Co.*, 282 U.S. 555 (1931). The district court was fully justified.

Tri County's own environmental expert, DiRenzo, completely undermined its claim for future lost profits. DiRenzo testified that competition was vigorous, including competition

[16]Or as the District's trial counsel put it: "And bear in mind that this case is not a traditional compensatory damage case. Mr. Emig filed that in Superior Court. That was dismissed. This is a . . . procedural due process case, so it is a horse of a different color from cases in which someone is injured and they go to damages." J.A. 120.

from bioremediation companies operating on site, and that the revenues that could be charged by Tri County's would-be competitors just covered their operating costs. In his view, Tri County's only potential competitive edge would arise from somewhat lower transportation costs for contaminated soil excavated in the Washington, D.C. metropolitan area. Even this projection was problematic, however, given that competition recently had forced a thermal remediation entrant in Baltimore to lower its prices below operating costs in order to gain market share, a move that quickly forced it to close its doors. By the time of DiRenzo's testimony in 1998, the market for thermal remediation had deteriorated: There were no more thermal remediation facilities in Virginia; the last extant facility had "lost" its permit.

The evidence provided by Tri County's own environmental expert fully justified the district court's conclusion that Tri County's case for future profits, much less whopping future profits, was speculative and that the jury's award in that respect was grossly excessive and thus in violation of the instructions (J.A. 124) the court had given the jury. The district court also wisely concluded that Morse's estimate of revenues and costs was "*pro forma*" and had failed to supply an adequate evidentiary foundation for the jury's verdict. In 1994, for example, Morse projected that Tri County's costs would be $1,335,908 and its profits, $2,031,592.[17]

[17]To be sure, the district court did not spell out in detail its reasoning on this point. However, "[a] trial judge is not required to enter supporting findings of fact and conclusions of law when granting a new-trial motion." *Allied Chemical Corp. v. Daiflon, Inc.*, 449 U.S. at 36 n.3. Furthermore, it should not be assumed that the district court, in its new trial order, "intended to set forth each and every reason for its order." *Id.* at 36 n.3.

Morse's *pro forma* estimate was also contradicted by Tri County's experience on Bryant Street. On Bryant Street, Tri County, far from *receiving* $40 per ton for processing contaminated soil in 1993, *paid* $17.50 per ton for this soil. And, given that only 60% of this soil could be cleaned and resold at $2 per ton (J.A. 44), it is evident, without even considering Tri County's costs for remediating the soil, that Tri County might well have followed the path of the Baltimore facility.

2. Mitigation. Judge Robertson ruled that Tri County failed as a matter of law to mitigate damages when, in pursuit of pure economic gain, it did not invest a single penny to seek a hearing even though it claimed that some $11,000,000 in profits were at stake, in addition to its investment. The law is clear that a litigant may not recover damages it reasonably could have avoided and that a litigant who does not make a reasonable effort to minimize damages may be denied damages altogether. *See, e.g., Chesapeake & Ohio R.R. v. Kelly*, 241 U.S. 485, 489 (1916); *Pennzoil Producing Co. v. Offshore Express, Inc.*, 943 F.2d 1465, 1474-75 (5th Cir. 1991) (plaintiff's damages limited by its failure even to request exception to environmental regulations, even if exception would not have been granted); *Patterson v. Portich*, 853 F.2d 1399, 1408 (7th Cir. 1990); *Tatum v. Morton*, 562 F.2d 1279, 1282-84 (D.C. Cir. 1977); Restatement (Second) of Torts § 918 at 500 (1977). Furthermore, the judge's ruling was closely tied to the facts. He accepted Tri County's argument that a reasonable person would not necessarily expend money to seek a hearing to protect a $500,000 investment; but he also ruled that a reasonable person must be expected to spend some money in order to garner some $11,000,000 in expected profits.

3. Health and Safety Evidence. Tri County's position was that the building permit it had received required that it be

given a certificate of occupancy and even precluded the District from making further health and safety inquiries. And it appears that, during trial, the district court accepted this theory. J.A. 76 (stating that he had expected the District to demonstrate that Tri County would have to secure, in addition to an occupancy permit, an operating permit before commencing operation, and would have to show again that the facility would meet health and safety standards). However, in the District, a certificate of occupancy is the operating permit, and an applicant must pass health and safety standards before securing it and any person aggrieved by the issuance of a certificate may challenge it. *See, e.g.*, 11 D.C.M.R. § 3203.1 (June, 1986); *Woodley Park Community Ass'n v. District of Columbia Board of Zoning Adjustment*, 490 A.2d 628 (D.C. 1985); J.A. 113-14.

In addition, Tri County's President also testified that he had already provided to the District all the information sought in the October 15 letter. However, this was contested. And when the judge struck the safety and health evidence, including the letters of October 15 and December 6, 1993, he disabled the District from showing that it had legitimate concerns in this area and that Tri County had misrepresented the impact of its project on the neighborhood. Indeed, he directed the jury not to consider whether health and safety might properly have interfered with this project. Furthermore, his ruling on this issue may have been interpreted by the jury to mean that the District's post-suspension invitation to be heard was a sham because all relevant matters had been reviewed -- when, in fact, Tri County had misrepresented important facts.

CONCLUSION

Tri County was not deprived of its Seventh Amendment right to a jury trial by the district court's order granting a new trial. Instead, it received a jury trial in a proceeding that was fair to both sides, and the jury awarded it $100.

The Court should reverse the decision of the D.C. Circuit setting aside the trial court's new trial order, affirm that order, and remand for further proceedings consistent with its decision in this case.

Respectfully submitted,

ROBERT R. RIGSBY
Corporation Counsel

CHARLES L. REISCHEL
Deputy Corporation Counsel
Appellate Division

DONNA M. MURASKY
Senior Assistant Corporation Counsel
Counsel of Record

Office of the Corporation Counsel
Government of the District of Columbia
One Judiciary Square -- 6th Floor South
441 Fourth Street, N.W.
Washington, D.C. 20001
Telephone: (202) 727-6252
(202) 724-5691